buyer's mean P&L
priced σ_p
30%
25%
20%
15%
10%
-0.796 -0.601 -0.397 -0.199 -0.001
-0.600 -0.403 -0.199 -0.002 0.191
-0.403 -0.203 -0.000 0.188 0.358
-0.203 -0.002 0.183 0.337 0.466
0.000 0.170 0.293 0.393 0.452
10% 15% 20% 25% 30%
realised σ_r
0.6 0.4 0.2 0.0 −0.2 −0.4 −0.6
policy regret (optimal − followed boundary)
priced σ_p
30%
25%
20%
15%
10%
0.017 0.014 0.007 0.002 0.000
0.016 0.011 0.003 0.000 0.003
0.015 0.006 0.000 0.006 0.031
0.010 0.000 0.012 0.051 0.118
0.000 0.022 0.095 0.189 0.326
10% 15% 20% 25% 30%
realised σ_r
0.30 0.25 0.20 0.15 0.10 0.05 0.00
mean τ: followed − optimal (+ = too late)
priced σ_p
30%
25%
20%
15%
10%
0.140 0.110 0.078 0.044 0.000
0.136 0.096 0.053 0.000 -0.044
0.125 0.069 0.000 -0.057 -0.121
0.097 0.000 -0.085 -0.168 -0.242
0.000 -0.144 -0.264 -0.344 -0.427
10% 15% 20% 25% 30%
realised σ_r
0.4 0.3 0.2 0.1 0.0 −0.1 −0.2 −0.3 −0.4